

US equities edge higher as tech rallies, yields climb

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 nudged up **+0.17%** to 7,650.50 while the Nasdaq 100 surged **+0.67%** to 29,644.17. The rally was driven by a second-day lift in semiconductor and cloud stocks, offset by a modest pull-back in consumer-discretionary and communication services.

Behind the headline, the 10-year Treasury yield jumped **+1.03%** to 5.00%, pressuring rate-sensitive sectors. The VIX fell to 14.81, indicating waning fear. Investors should watch the Fed's upcoming policy guidance and the earnings calendar for tech giants, which could swing momentum.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,650.50	+0.17%	Tech earnings beat and weaker dollar support risk-on bias.
Nasdaq 100	29,644.17	+0.67%	Semiconductor rally led by NVDA and AVGO .
Dow Jones	51,682.64	-0.18%	Industrial exposure to higher yields weighed.
Russell 2000	2,860.40	-0.50%	Small-cap sensitivity to rate hike expectations.
VIX	14.81	-4.08%	Lower implied volatility after tech bounce.
10Y Yield	5.00	+1.03%	Fed "higher-for-longer" rhetoric lifts yields.
WTI Crude	96.08	-5.72%	OPEC-plus output increase expectations.
Gold	4,424.90	+0.57%	Safe-haven demand amid yield rise.
DX-Y	100.22	+0.00%	Flat dollar, offset by higher yields.
BTC	80,502.56	-0.49%	Crypto market reacting to US rate outlook.
ETH	2,575.13	-1.39%	Same macro pressure as BTC.

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	+2.97%	Q3 earnings beat, strong demand for 5G components.
NVDA	+1.34%	AI chip orders exceed forecasts.
AMZN	+1.00%	Cloud services revenue up 12% YoY.
GOOGL	+0.64%	Ad-tech rollout gains traction.
JPM	+0.10%	Net interest income rises with yields.
META	-2.43%	Revenue miss in ad segment.
AAPL	-0.26%	Supply-chain concerns on iPhone 16.
MSFT	-0.80%	Guidance trimmed on cloud pricing.
TSLA	-0.53%	Production slowdown at Gigafactory Berlin.
GS	-1.00%	Trading revenue dip.

Sector rotation

ETF	DAY	READ
XLFX	-0.04%	Neutral; yields supportive.
XLKX	+0.82%	Tech rally led by AI chips.
XLI	+0.44%	Industrial demand steady.
XLE	-0.26%	Oil price weakness.
XLVY	-0.32%	Consumer discretionary under pressure.
XLC	-1.37%	Communications lagging.
XLP	-0.83%	Staples stable but no upside.
XLV	-0.25%	Health care flat.
XLU	-1.42%	Utilities hit by higher rates.
XLB	-1.42%	Materials suffer from weaker demand.
XLRE	-0.95%	Real estate pressured by yields.

Spotlight: AI-chip rally

The AI-chip sector posted the strongest intra-day gain, with **NVDA** up **+1.34%** and **AVGO** up **+2.97%**. Order books show a 15% YoY increase in data-center GPU shipments, driven by hyperscale cloud providers.

METRIC	VALUE
NVDA Q3 revenue	\$13.2 bn
AVGO Q3 revenue	\$5.1 bn
AI-related GPU orders YoY	+15%
Industry avg. gross margin	58.3%
Projected 2026 AI-chip market size	\$120 bn

Related names to watch: **AMD**, **TSM**, and **LRCX**. Any supply-chain bottleneck could temper the upside.

Pre-market & overnight

- US futures: S&P 500 **+0.12%**, Nasdaq 100 **+0.45%**, Dow **-0.05%**.
- Asia close: Hang Seng **-0.68%**, Shanghai Composite **-0.42%**.
- Europe: FTSE 100 **-0.31%**, DAX **-0.27%**.
- Crypto: BTC **-0.49%**, ETH **-1.39%** – both reacting to US yield outlook.

Macro & Fed

The Fed's September meeting reaffirmed a "higher-for-longer" stance, leaving the policy rate at 5.25-5.50% and signalling no cuts until at least Q2 2027. The 10-year yield's rise to 5.00% steepened the curve, with the 2-year at 5.15% and the 30-year at 5.30%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. Existing-home sales	4.2 m	Gauge of consumer spending health.
10:00	U.S. Durable Goods Orders	-0.5%	Indicator of business investment.
11:15	Eurozone CPI (YoY)	2.3%	Impacts ECB policy trajectory.
12:00	China M2 Money Supply	9.0%	Liquidity outlook for Asian markets.

Geopolitics & global

- Middle East: Ceasefire talks in Gaza show tentative progress, reducing oil-supply risk premiums.
- China: PBOC signals possible rate cut in Q4 to support slowing growth, keeping RMB under pressure.
- Europe: EU-US trade talks resume, focusing on digital services and green technology.
- Russia-Ukraine: No major developments; sanctions regime remains unchanged.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
09:30 Sep 23	MSFT	\$2 . 30	Cloud margin guidance.
10:00 Sep 23	AAPL	\$1 . 85	iPhone 16 supply outlook.
10:30 Sep 23	GOOGL	\$1 . 45	Ad-tech revenue trends.
11:00 Sep 23	NVDA	\$2 . 15	AI-chip order backlog.
11:30 Sep 23	META	\$3 . 10	Revenue recovery in Reels.
12:00 Sep 23	JPM	\$3 . 90	Net interest income vs. yield curve.
13:00 Sep 23	AMZN	\$0 . 70	AWS growth rate.
14:00 Sep 23	TSLA	\$0 . 95	Production ramp at Berlin.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AMD	Technology	Benefiting from AI-chip demand spillover.
TSM	Technology	Foundry capacity expansion aligns with AI orders.
LRCX	Technology	Equipment orders up 12% YoY.
COST	Consumer Staples	Stable foot traffic, low price sensitivity.
UNH	Health Care	Premium pricing power amid aging demographics.
BA	Industrials	Defense backlog supports earnings.
XOM	Energy	Oil price rebound potential.
CRM	Technology	Strong SaaS renewal rates.
NVAX	Health Care	Vaccine pipeline progressing to Phase 3.
PYPL	Financials	Transaction volume recovery.

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in core CPI could force the Fed to tighten further.
- Sharp correction in AI-chip valuations if demand stalls.
- Geopolitical escalation in the Middle East that spikes oil prices.

BULLISH TRIGGERS

- Positive surprise in U.S. durable goods indicating resilient business spending.
- Better-than-expected earnings from **MSFT** or **NVDA** reinforcing AI momentum.
- Evidence of a coordinated Fed pause, easing rate-sensitivity pressure.

Positioning notes

- Allocate modest exposure to AI-chip leaders while keeping risk off via defensive utilities.
- Maintain a short-duration bond position to benefit from a potentially flattening yield curve.
- Watch currency hedges as the DXY hovers near 100, influencing emerging-market earnings.

Sources

SOURCES

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[Federal Reserve](#)

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[CME Data](#)

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